failure rate more than triple (to 19%) the breakeven rate.

Also, notice that the lowest failure rates accompany breakout directions that are in line with the general market trend—bull market, upward breakouts and bear market, downward breakouts. The countertrend rectangles (bull/down) have higher failure rates.

Here is another way to use the table. Suppose you have a rectangle with a breakout price of 10 and it is 2.50 tall. The measure rule (discussed later in the chapter) suggests a drop to 7.50 after a downward breakout. That is a 25% drop. How likely is that in a bear market? Answer: 58% will fail to see price drop that far. If it happens in bull markets, the failure rate reaches 80%.

Table 51.4 shows breakout-related statistics.

Breakout direction. The breakout direction for the three columns hovers around random (50%). As I mentioned, the breakout direction favors the market trend: upward in bull markets and downward in bear markets.

Yearly position, performance. Mapping performance over the yearly price range says that the best performance comes from rectangles near (within a third of) the yearly low.